CENTRUM

Q1FY26 Results Review

India I Pharma & Healthcare

18 August 2025

Institutional Research

NIFTY 50: 24,631

BSE Sensex: 80,598

Hospitals

Bed addition drives growth; Profitability stable YoY/QoQ

During 1QFY26, on aggregate basis, the hospital companies under our coverage (ARTMSL, ASTERDM, MAXHEALT, MEDANTA, RAINBOW AND YATHARTH), delivered in-line Revenue/EBITDA while PAT beat by 6%. On aggregate level, hospital companies reported Revenue/EBITDA/PAT growth of 19%/23%/26% YoY with EBITDA margin at ~23% (flat YoY/QoQ). ARPOB grew 7% YoY/4% QoQ to ~Rs62K. The operational bed capacity of the hospital companies under our coverage increased 10% YoY/2% QoQ. Bed occupancy was 61% (down 110bp YoY/flat QoQ). We like MAXHEALT (majority expansion being brownfield, faster ramp-up in recently-acquired facilities), ASTERDM (gradual revival in Kerala cluster, QCIL merger).

Top picks: MAXHEALT, ASTERDM

In-line profitability for the quarter

Our coverage stocks delivered in-line revenue with MEDANTA beating our estimates by 8% while YATHARTH delivering a miss by 5%. MAXHEALT/YATHARTH/MEDANTA exhibited revenue growth of 27%/22%/20% YoY while ASTERDM/RAINBOW grew 8%/7%% YoY. On cumulative basis, hospital companies delivered in-line margin with only ASTERDM delivering a beat by 290bp. However, PAT delivered a beat by 6%.

ARPOB growth led by optimization of case/payor mix

On cumulative basis, ARPOB grew 7% YoY led by improved case/payor mix. ASTERDM/RAINBOW delivered 14%/13% YoY growth while that of YATHARTH/ARTMSL grew 6% YoY each. For MAXHEALT, existing units' ARPOB grew 5% YoY while that of base-level grew 7% YoY. MEDANTA' ARPOB grew 4% YoY to ~Rs67K driven by increase in realization in Gurugram unit and change in specialty mix. RAINBOW's ARPOB grew 13% YoY to Rs63K+ led by higher critical care volume. ASTERDM's ARPOB grew 14% YoY led by oncology segment growing 16% YoY and also price revisions in cash/TPA.

Occupancy declined YoY due to bed capacity enhancement

On cumulative basis, the operational bed capacity grew 10% YoY largely led by MAXHEALT/ARTMSL growing 25%/19% YoY. The bed capacity of MEDANTA/ASTERDM grew 6%/7% YoY while that of RAINBOW/YATHARTH was flat YoY. Cumulatively, occupancy declined 110bp YoY at 61%. Occupancy of ASTERDM/ARTMSL/RAINBOW contracted 800bp/580bp/220bp YoY while that of MEDANTA/YATHARTH expanded 440bp/400bp YoY. Sequentially, the bed capacity grew 2% while occupancy was flat. Occupancy of RAINBOW contracted 630bp while that of YATHARTH/MEDANTA expanded 400bp/190bp QoQ.

ARTMSL witnessed strong operating leverage as Tower-3 is witnessing increased traction in volumes. . Also, EBITDA per operating bed grew 5% YoY to Rs5.1mn.

ASTERDM guided for margins (ASTERDM+QCIL) to reach 23%-24% over the next 3-4 years. It plans to add a new 500-bed facility in Yeswanthpur (Bengaluru)

MAXHEALT plans to augment the bed capacity by ~36% to reach 6960+ beds (~62% is brownfield which is margin and ROCE accretive) over FY25-27E.

MEDANTA, in FY26E, plans to take tariff hikes in Gurugram, Lucknow and Patna. Over the next 4-5 years, it plans to enhance the bed capacity by ~3100 beds at a capex of ~Rs10mn per bed.

RAINBOW guided for pre-INDAS EBITDA margin of 25% with margin pressure due to addition of beds. Also, revenue CAGR of late-teens to 20% over the medium term.

YATHARTH expects EBITDA margins to be near 24-25%. Also, it guided for higher tax rate of 26% (v/s 24% earlier) for FY26E.

Change in estimates: We have reduced FY26E/FY27E EPS estimates for MEDANTA by 17%/14% and for ASTERDM by 9%/5%. The estimates have been increased for YATHARTH by 6%/14%.

Rating change: RAINBOW downgraded to ADD from BUY.

Stock price performance (%)

Company Name	1 Mth	3 Mth	6 Mth	1 Yr
MAXHEALT	(3.2)	8.2	6.8	40.3
MEDANTA	3.6	17.4	17.6	28.9
ASTERDM	1.2	14.4	28.0	56.0
RAINBOW	1.7	15.6	12.2	27.1
YATHARTH	15.1	54.6	66.2	59.7
ARTMSL	(5.2)	(0.2)	(15.3)	0.9
Nifty 50	(2.2)	2.6	4.5	2.0

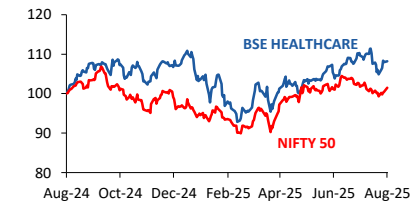
Source: Bloomberg, * as on 14th August 2025

Rating and Target prices

Company	Rating	CMP(Rs)	Target price (Rs)
MAXHEALT	Buy	1220	1400
MEDANTA	Add	1374	1550
ASTERDM	Buy	605	800
RAINBOW	Add	1552	1700
YATHARTH	Reduce	712	740
ARTMSL	Add	240	300

Source: Centrum Broking, CMP as on 14 August 2025

Nifty 50 vs BSE Healthcare



Source: Bloomberg

Pharma & Healthcare

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Please see Appendix for analyst certifications and all other important disclosures.

Exhibit 1: Valuation Summary

Company	CMP	TP	Rating	Mcap (Rs bn)	CAGR FY25-28E (%)			PE (x)			EV/EBITDA (x)			RoE (%)		
					Sales	EBITDA	EPS	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
MAXHEALT	1220	1400	Buy	1,127	23	26	27	65	53	40	42	35	27	16	17	19
MEDANTA	1374	1550	Add	325	21	19	19	53	46	41	31	26	23	19	18	17
ASTERDM	605	800	Buy	275	25	34	41	70	49	30	30	23	16	12	15	20
RAINBOW	1552	1700	Add	142	22	19	24	47	36	31	26	21	18	19	21	20
YATHARTH	712	740	Reduce	50	29	30	25	40	28	27	22	16	13	10	13	12
ARTMSL	240	300	Add	39	22	31	37	32	23	17	16	12	9	13	16	18

Source: Centrum Broking, Company Data, CMP as on 14 August 2025

Exhibit 2: Hospitals coverage earnings review

Hospitals	Sales					EBITDA					EBITDA Margin (%)					Adj PAT				
(Rs mn)	Q1FY25	Q4FY25	Q1FY26	% YoY	%QoQ	Q1FY25	Q4FY25	Q1FY26	% YoY	%QoQ	Q1FY25	Q4FY25	Q1FY26	YoY bps	QoQ Bps	Q1FY25	Q4FY25	Q1FY26	% YoY	%QoQ
MAXHEALT	19,310	23,020	24,510	26.9	6.5	4940	6070	6170	24.9	1.6	25.6	26.4	25.2	-41	-119	3087	3904	3708	20.1	-5.0
MEDANTA	8,611	9,312	10,308	19.7	10.7	1912	2295	2349	22.8	2.3	22.2	24.6	22.8	58	-186	1063	1393	1501	41.2	7.7
ASTERDM	10,020	10,000	10,780	7.6	7.8	1630	1920	2070	27.0	7.8	16.3	19.2	19.2	293	0	740	1060	890	20.3	-16.0
RAINBOW	3,302	3,701	3,529	6.9	-4.6	937	1147	1036	10.6	-9.7	28.4	31.0	29.4	98	-164	395	563	535	35.3	-5.0
YATHARTH	2,118	2,318	2,578	21.7	11.2	537	570	645	20.2	13.1	25.3	24.6	25.0	-32	41	304	387	420	38.3	8.6
ARTMSL	2,232	2,399	2,550	14.2	6.3	362	359	414	14.4	15.3	16.2	15.0	16.2	3	127	167	230	213	27.7	-7.6
Total	**45,593**	**50,750**	**54,255**	**19.0**	**6.9**	**10,318**	**12,362**	**12,684**	**22.9**	**2.6**	**22.6**	**24.4**	**23.4**	**75**	**-98**	**5,755**	**7,538**	**7,267**	**26.3**	**-3.6**

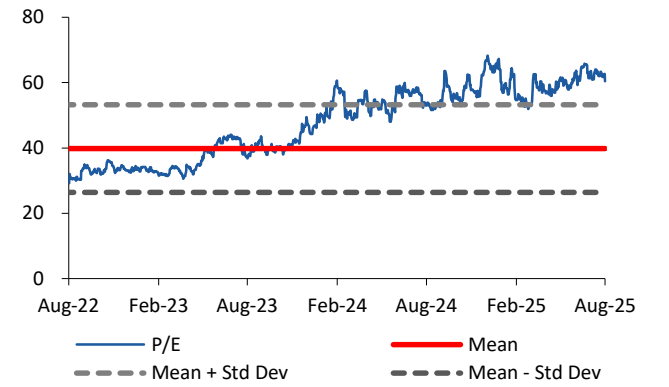
Source: Company, Centrum Broking

Exhibit 3: Hospitals 4QFY25 operational performance

Hospitals	No of Beds (Nos)					Occupancy rate (%)					ARPOB (Rs'000)				
	Q1FY25	Q4FY25	Q1FY26	% YoY	%QoQ	Q1FY25	Q4FY25	Q1FY26	% YoY	%QoQ	Q1FY25	Q4FY25	Q1FY26	% YoY	%QoQ
MAXHEALT	3,787	4,654	4,749	25.4	2.0	75	75	76	100	100	77	77	78	1.2	1.2
MEDANTA	2,354	2,480	2,487	5.6	0.3	59	61	63	440	190	64	64	67	4.0	4.6
ASTERDM	4,708	4,906	5,019	6.6	2.3	67	59	59	-800	0	44	48	50	13.6	5.0
RAINBOW	1,523	1,523	1,523	0.0	0.0	42	47	40	-219	-629	56	58	63	12.7	9.1
YATHARTH	1,605	1,605	1,605	0.0	0.0	61	61	65	400	400	31	31	32	6.0	3.0
ARTMSL	456	522	543	19.1	4.0	67	61	61	-580	40	79	83	84	5.9	1.3
Total	**14,433**	**15,690**	**15,926**	**10.3**	**1.5**	**62**	**61**	**61**	**-110**	**17**	**59**	**60**	**62**	**6.6**	**3.8**

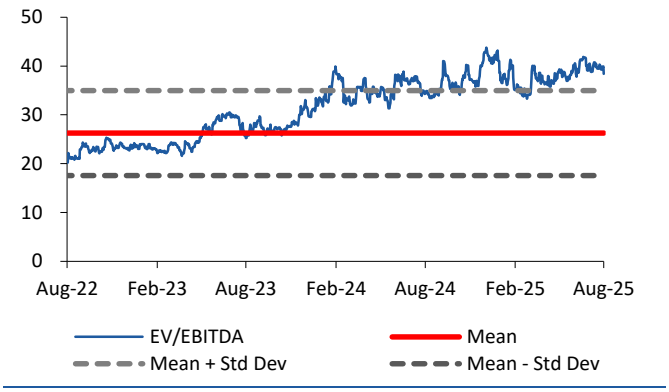
Source: Company, Centrum Broking

Exhibit 4: MAXHEALT P/E mean and standard deviation



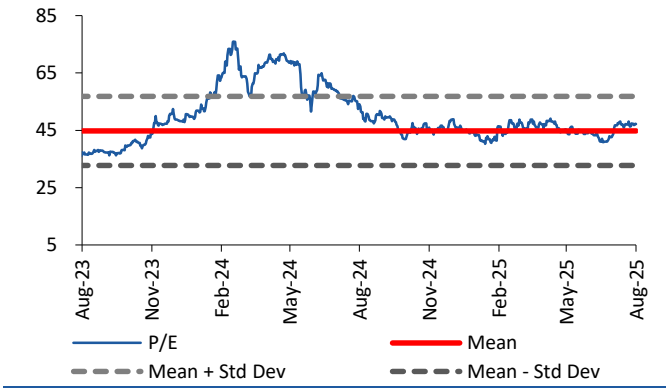
Source: Bloomberg, Centrum Broking

Exhibit 5: MAXHEALT EV/EBITDA mean and standard deviation



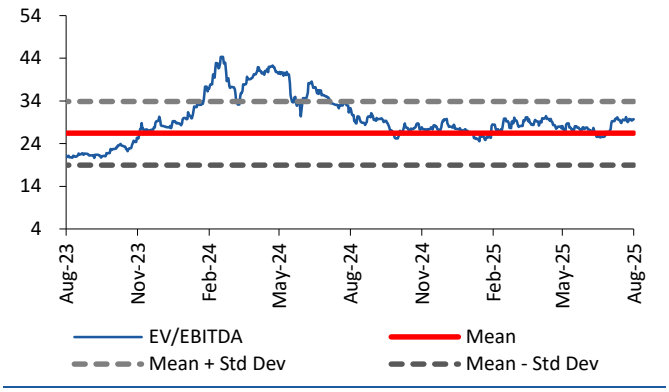
Source: Bloomberg, Centrum Broking

Exhibit 6: MEDANTA P/E mean and standard deviation



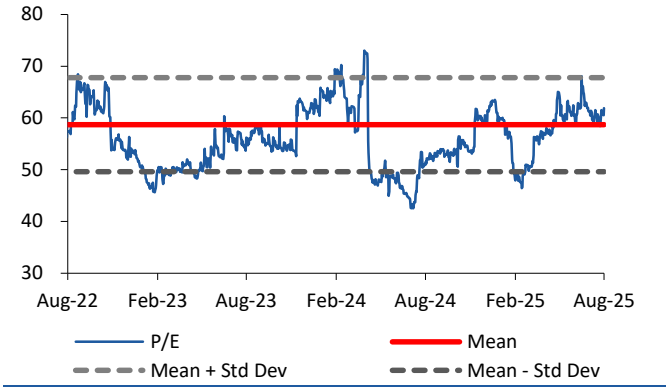
Source: Bloomberg, Centrum Broking

Exhibit 7: MEDANTA EV/EBITDA mean and standard deviation



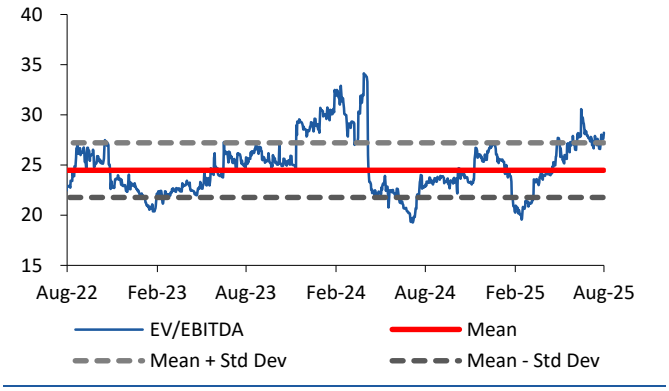
Source: Bloomberg, Centrum Broking

Exhibit 8: ASTERDM P/E mean and standard deviation



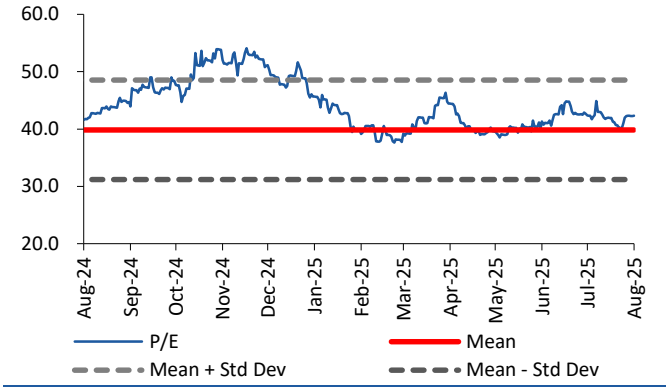
Source: Bloomberg, Centrum Broking

Exhibit 9: ASTERDM EV/EBITDA mean and standard deviation



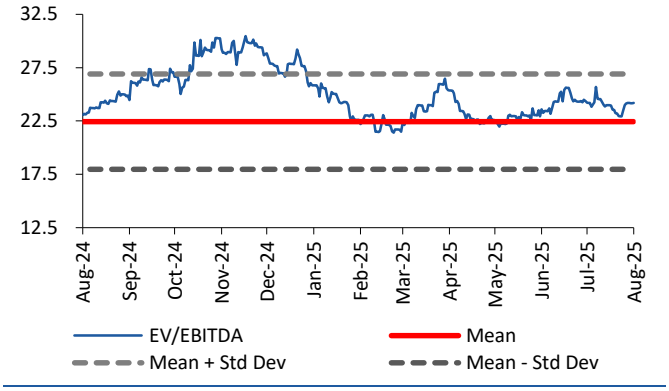
Source: Bloomberg, Centrum Broking

Exhibit 10: RAINBOW P/E mean and standard deviation



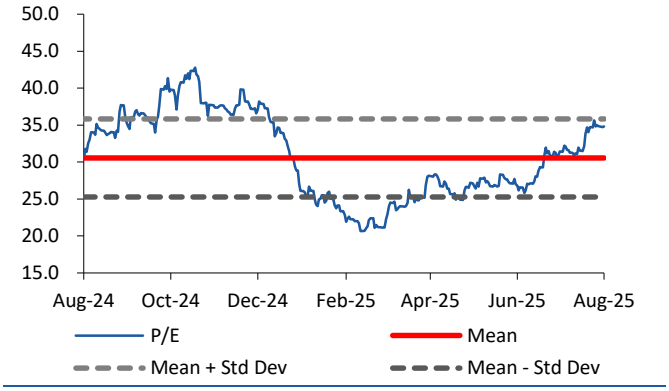
Source: Bloomberg, Centrum Broking

Exhibit 11: RAINBOW EV/EBITDA mean and standard deviation



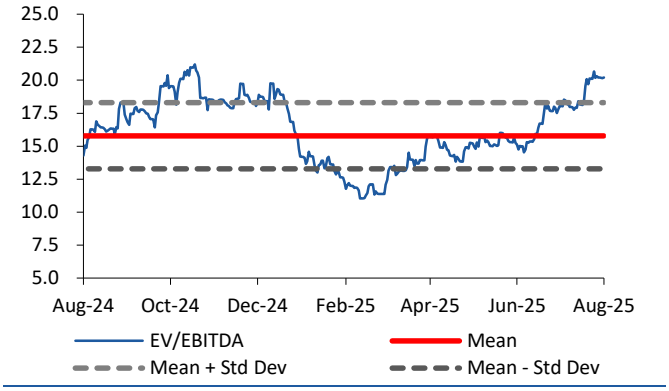
Source: Bloomberg, Centrum Broking

Exhibit 12: YATHARTH P/E mean and standard deviation



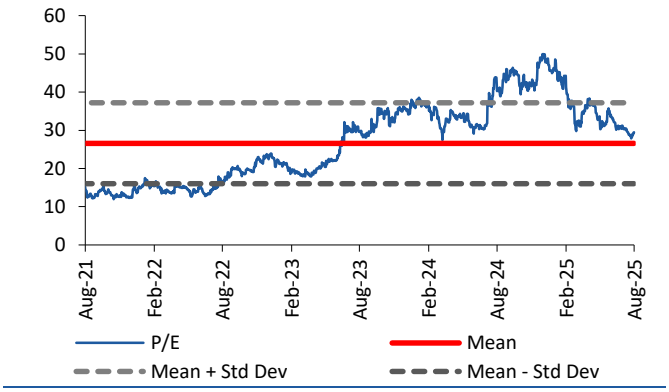
Source: Bloomberg, Centrum Broking

Exhibit 13: YATHARTH EV/EBITDA mean and standard deviation



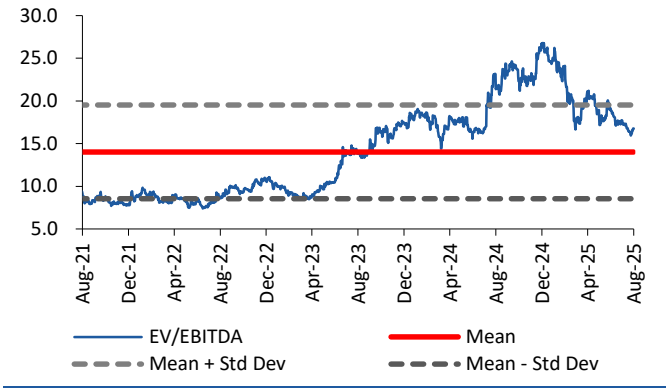
Source: Bloomberg, Centrum Broking

Exhibit 14: ARTMSL P/E mean and standard deviation



Source: Bloomberg, Centrum Broking

Exhibit 15: ARTMSL EV/EBITDA mean and standard deviation



Source: Bloomberg, Centrum Broking

Hospital Sector 1QFY26 review

In addition to our coverage stocks (MAXHEALT, MEDANTA, ASTERDM, RAINBOW, YATHARTH and ARTMSL), we have also reviewed the performance of APHS, FORH, NARH, JLHL, KIMS, HCG, Dr AGARWAL, SHALBY (ALL NOT RATED) to better understand the performance of the hospital sector during the quarter.

- On an aggregate basis, revenue/EBITDA grew 16%/20%. However, EBITDA margin grew slightly by 70bp
- Growth was driven by improving ARPOB and bed expansion with stable occupancies.

Peer comparison

- NARH/Aster DM delivered the highest ARPOB growth of 14% YoY followed by Jupiter/Rainbow 13% YoY.
- Overall occupancy declined 200bp YoY. Occupancy of YATHARTH expanded the most by 400bp YoY while that of KIMS contracted 702bp YoY. MAXHEALT had the highest occupancy rate of 76%.
- Total volumes grew 12% YoY. Volumes of MAXHEALT grew the highest by 29% YoY due to new hospitals. Also, KIMS/Dr AGARWAL volumes grew 19% YoY.
- EBITDA per bed grew the highest for ASTERDM at 35% YoY to Rs2.8mn.

Exhibit 16: Hospitals 1QFY26 financial performance

India Hospitals	Revenue					EBITDA					EBITDA margin (%)					EBITDA per bed				
(Rs mn)	1QFY26	1QFY25	YoY Gr (%)	4QFY25	QoQ Gr (%)	1QFY26	1QFY25	YoY Gr (%)	4QFY25	QoQ Gr (%)	1QFY26	1QFY25	YoY Gr (%)	4QFY25	QoQ Gr (%)	1QFY26	1QFY25	YoY Gr (%)	4QFY25	QoQ Gr (%)
Max	24,150	19,310	25	23,020	5	6,170	4,940	25	6,070	2	25.5	25.6	-3 bps	26.4	-82 bps	6.8	7.0	-2	7.3	-7
Apollo	29,351	26,373	11	28,219	4	7,119	6,217	15	6,862	4	24.3	23.6	68 bps	24.3	-6 bps	5.5	4.6	18	4.9	11
Medanta	10,308	8,611	20	9,312	11	2,349	1,912	23	2,295	2	22.8	22.2	58 bps	24.6	-186 bps	6.0	5.5	8	6.1	-2
KIMS	8,716	6,884	27	7,969	9	1,926	1,794	7	1,980	-3	22.1	26.1	-396 bps	24.8	-275 bps	3.4	3.7	-6	3.4	1
Rainbow	3,529	3,302	7	3,701	-5	1,036	937	11	1,147	-10	29.4	28.4	98 bps	31.0	-164 bps	6.8	5.8	17	6.6	2
Fortis	18,380	15,490	19	17,010	8	4,060	2,870	41	3,720	9	22.1	18.5	356 bps	21.9	22 bps	4.1	3.7	11	4.1	-0
Narayana	10,913	9,692	13	10,944	-0	2,309	2,072	11	2,356	-2	21.2	21.4	-22 bps	21.5	-37 bps	NA	NA	NA	NA	NA
Jupiter	3,476	2,871	21	3,267	6	781	639	22	783	-0	22.5	22.2	24 bps	24.0	-148 bps	4.9	4.2	18	4.6	5
Yatharth	2,578	2,118	22	2,318	11	645	537	20	570	13	25.0	25.4	-33 bps	24.6	41 bps	2.5	2.2	13	2.3	8
Artemis	2,550	2,232	14	2,399	6	414	362	14	359	15	16.2	16.2	2 bps	15.0	127 bps	5.0	4.7	5	4.9	3
Aster DM	10,780	10,020	8	10,000	8	2,070	1,630	27	1,920	8	19.2	16.3	293 bps	19.2	0 bps	2.8	2.1	35	2.4	14
HCG	6,118	5,247	17	5,834	5	1,078	909	19	1,057	2	17.6	17.3	29 bps	18.1	-50 bps	4.8	4.6	3	4.2	12
Dr Agarwal	4,874	4,035	21	4,602	6	1,279	1,026	25	1,310	-2	26.2	25.4	80 bps	28.5	-223 bps	NA	NA	NA	NA	NA
Shalby	2,422	2,404	1	2,142	13	524	580	-10	380	38	21.6	24.1	-249 bps	17.7	389 bps	3.3	3.5	-5	4.2	-22
TOTAL	**1,38,146**	**1,18,589**	**16**	**1,30,738**	**6**	**31,760**	**26,425**	**20**	**30,809**	**3**	**23.0**	**22.3**	**71 bps**	**23.6**	**-58 bps**	**5.0**	**4.4**	**13**	**4.9**	**-1**

Source: Company, Centrum Broking

Exhibit 17: Hospitals 1QFY26 operational performance

India Hospitals	ARPOB (INR)					Occupancy (%)			Operational beds				
(INRm)	1QFY26	1QFY25	YoY growth (%)	4QFY25	QoQ growth (%)	1QFY26	1QFY25	4QFY25	1QFY26	1QFY25	YoY growth (%)	4QFY25	QoQ growth (%)
Max	78,000	77,100	1	77,100	1	76	75	75	4,749	3,787	25	4,654	2
Apollo*	1,72,282	1,58,251	9	63,569	-	65	68	67	8,030	7,942	1	8,025	0
Medanta	66,584	64,035	4	63,629	5	63	59	61	2,487	2,354	6	2,480	0
KIMS	43,011	38,458	12	41,469	4	49	56	48	4,612	3,503	32	4,492	3
Rainbow	63,323	56,212	13	58,057	9	40	42	47	1,523	1,523	0	1,523	-
Fortis	72,603	66,027	10	68,767	6	69	67	69	5,703	4,613	24	4,746	20
Narayana	48,219	42,466	14	46,301	4	NA	NA	NA	5,394	5,684	-5	5,414	-0
Jupiter	67,300	59,700	13	65,453	3	60	64	61	1,061	961	10	1,061	-
Yatharth	32,395	30,551	6	31,441	3	65	61	61	1,605	1,605	0	1,605	-
Artemis	83,900	79,200	6	82,800	1	61	67	61	543	456	19	522	4
Aster DM	50,200	44,200	14	47,800	5	59	67	59	5,019	4,708	7	4,906	2
HCG	44,751	44,342	1	44,236	1	61	62	54	1,486	1,267	17	1,493	-0
Dr Agarwal	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Shalby	45,673	43,365	5	41,585	10	45	48	45	1,415	1,390	2	1,415	-
TOTAL	**66,788**	**61,839**	**8**	**56,324**	**19**	**61**	**63**	**60**	**43627**	**39793**	**10**	**42,336**	**3**

Source: Company, Centrum Broking, APOLLO is providing with Average rev per in-patient

Exhibit 18: Hospitals 1QFY26 operational performance

India Hospitals	IPD volumes					OPD volumes ('000)					Total volumes				
(INRm)	1QFY26	1QFY25	YoY growth(%)	4QFY25	QoQ growth (%)	1QFY26	1QFY25	YoY growth(%)	4QFY25	QoQ growth (%)	1QFY26	1QFY25	YoY growth(%)	4QFY25	QoQ growth (%)
Max	83,257	66011	26	78,685	6	938	725	29	854	10	10,21,257	791011	29	9,32,685	9
Apollo	151558	146862	3	146434	3	567	522	9	560	1	718686	668860	7	706251	2
Medanta	47150	41293	14	42901	10	819	724	13	718	14	865965	764985	13	760909	14
KIMS	57275	49674	15	53918	6	502	421	19	469	7	559767	471041	19	522715	7
Rainbow	20992	21289	-1	22975	-9	329	311	6	357	-8	350323	332279	5	379876	-8
Fortis	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Narayana	53000	54000	-2	52000	2	617	616	0	584	6	670000	670000	0	636000	5
Jupiter	13300	12700	5	12700	5	246	219	12	239	3	259100	231900	12	251700	3
Yatharth	19000	15000	27	18000	6	105	87	21	103	2	124000	102000	22	121000	2
Artemis	98542	97049	2	93443	5	NA	NA	NA	NA	NA	98542	97049	2	93443	5
Aster DM	65800	66750	-1	64010	3	820	780	5	790	4	885800	846750	5	854010	4
HCG	49000	41000	20	47000	4	167	143	17	116	44	216000	184000	17	163000	33
Dr Agarwal	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	705214	594248	19	660000	7
Shalby	22499	22792	-1	21202	6	134	135	-1	131	2	156621	157668	-1	152473	3
TOTAL	**681373**	**634420**	**7**	**653268**	**4**	**5245**	**4683**	**12**	**4921**	**7**	**6631275**	**5911791**	**12**	**6234062**	**6**

Source: Company, Centrum Broking

Company-wise performance

Artemis Medicare (ARTMSL)

- In Q1FY26, Revenue/EBITDA/PAT grew 14%/-5%/62% YoY to Rs2.5bn/Rs414mn/Rs213mn respectively. EBITDA margin was flat YoY to 16.2%
- **ARPOB** grew 5% YoY to Rs83.9k.
- **Occupancy** was 61.2% down 580p YoY. Operating beds stood at 543 (+19% YoY).
- **Operating EBITDA per bed grew** 5.4% YoY to Rs5.1mn.
- **Volumes** were flat YoY at 98.5k.

Max Healthcare Institute Ltd (MAXHEALT)

- In Q1FY26, Revenue/EBITDA/PAT grew 27%/22%/17% YoY to Rs24.5bn/Rs6bn/Rs3.6bn respectively. EBITDA margin contracted 110bp YoY to 24.7%.
- Overall ARPOB grew 1.2%YoY to Rs78k (existing units ARPOB grew 5% YoY to Rs80.9k)
- Occupancy came in at 76% in 1QFY26 (vs 75% in 1QFY25 and 75% in 4QFY25).
- Overall operating EBITDA/bed declined 2.2% YoY to Rs6.8mn (for existing units EBITDA/bed grew 6.6% YoY to Rs7.5mn)
- Overall, IP/OP volume grew 26%/29.5% YoY to 83.2k/938k
- **Max Labs:** Q1FY26, revenue grew 17% YoY to Rs480mn with gross billing value increasing 22% YoY to Rs830mn.
- **Max Home:** Q1FY26, revenue grew 30% YoY to Rs600mn

Key Concall Highlights:

- **Performance of new facilities:** Max Lucknow revenue/EBITDA grew 97%/191% and Max Nagpur revenue/EBITDA grew 27%/27% in 1QFY26. Max Noida revenue/EBITDA grew by 14%/32% in 1QFY26.
- **Max Dwarka**: Posted revenue growth of 24% QoQ and EBITDA of Rs80mn.
- Gurgaon has the highest ARPOB and EBITDA per bed in the network.
- **Expansion Update:** Max Dehradun (New 130 beds), Max Lucknow(128 beds), Max Nagpur (127 beds), Nanavati Phase1- Advances phase of commissioning the basements, Max Smart to be commission end-2QFY26, Sector 56 Gugaon – Commission by end-FY26.

Rainbow Children's Medicare Ltd (RAINBOW)

- In Q1FY26, Revenue/EBITDA/PAT grew 7%/11%/35% YoY to Rs3.5bn/Rs1.01bn/Rs535mn respectively. EBITDA margin grew 100bp YoY to 29.4%.
- **ARPOB** was Rs63.3K (+13% YoY/+9% QoQ)
- **ALOS** stood at 2.66 days vs 2.76 days in Q1FY25
- Total patient volumes grew by 5% YoY with OPD volumes increasing 6% YoY while IPD volumes declined 1% YoY.
- **Expansion plans:** Rajahmundry (AP) facility (100 beds) Awaiting approvals for commencement. The 2 spoke facilities in Bangalore (Electronic City- 90 beds and Hennur-60 beds) to commence by Q2FY26 end.

Key Concall Highlights:

- **Revenue Guidance**: Expects to post revenue growth of late-teens to 20% CAGR range over the medium term.
- **New hospital**: Sarjapur has breakeven in 1QFY26. Anna Nagar is expected to breakeven in 6 months

- **ARPOB** – Matured hospital revenue grew 2% YoY. Critical care has grown leading to higher ARPOB. Surgical mix has been good leading to low ALOS. However, pediatric volume was lower YoY.
- **IVF** – In 1QFY26, Revenue grew 50% YoY. It was 3.2% of revenue (v/s 2.9% in Q4FY25)
- No price hike in 1QFY26. It expects price hike in 2-3 months in Hyderabad, Bangalore and Chennai facilities.

Yatharth Hospital & Trauma Care Ltd (YATHARTH)

- In Q1FY26, Revenue/EBITDA/PAT grew 22%/20%/38% YoY to Rs2.5bn/Rs645mn/Rs420mn respectively. EBITDA margin declined 30bps to 25%.
- **ARPOB** grew 6% YoY to Rs32.4k (+3% QoQ)
- **Occupancy** rose 400bp YoY to 65% (+400bp QoQ). Operating beds stood at 1605.
- **Operating EBITDA per bed** grew 12.8% YoY to Rs2.5mn.
- **Volumes**: Total patient volume grew 31% YoY to 124k with IP/OP volume growing 21%/27% YoY to 19k/105k respectively.
- **New Hospitals Update**: YATHARTH will operationalise Faridabad 400beds in Aug'25.

Key Concall Highlights:

- **FY26 Guidance:** Expects EBITDA margin of around ~24-25%. And ETR: 26%
- **New hospitals ARPOB**: Expected to be around Rs35k.
- **Income tax issue:** Expects the amount to be insignificant. Expects income tax matter to end by FY26 end.
- **Payor mix**: Govt 35%. Rest equally split between cash/TPA
- **Capex over next 3 years**: Rs14-15bn for 1200 beds.
- **Debtor days**: Expect 117 days in 1HFY26E (v/s 123 days at end-FY25)

AsterDM Healthcare Ltd (ASTERDM)

- In Q1FY26, Hospitals Revenue/EBITDA grew 8%/27% YoY to Rs10.7bn/Rs2bn respectively. EBITDA margin expanded 290bp YoY to 19.1%.
- **ARPOB** grew by 14% YoY to Rs50.2K primarily driven by that of Karnataka cluster (+17% YoY). ARPOB of Kerala and AP & Telangana grew 11% each respectively
- Occupancy was 59% (v/s 67% in 1QFY25/59% in 4QFY25)
- Operational bed capacity increased 7% YoY to 5,019 beds
- Cash/Walk-in contributed 56%; Insurance/TPA contributed 31% while MVT stood at 3%
- **Labs and Pharmacy:** Revenue declined 44% YoY to Rs350m. EBITDA was Rs30m achieving 8.6% margin.

Key Concall Highlights:

- Expect mid-teens growth with volume and ARPOB, each delivering growth of 7-8%
- Commissioning of: 159 bed in Tower D of Whitefield facility in 2 months. W&C Tower C and D) plans add 159 beds in 2-3 months
- Expect total bed capacity of 14000+ over 2-3 years.
- Strategic exit from loss making wholesale segments.
- **Kerala Cluster**: Expect 2QFY26 better than 1QFY26 and MVT revenue to grew 12%YoY Focus on Oman and Maldives cases.
- **Karnataka & Maharashtra cluster:** Low volumes in Karnataka & Maharashtra due to discontinuation of scheme business in Aster Adhar (240-bed) in Maharashtra. The scheme business was occupying 20%+ of bed capacity. This led to 3% incremental

growth in ARPOB to 17% YoY. Funding for Yeswanthpur facility through internal accruals.

Global Health Ltd (MEDANTA)

- In Q1FY26, Revenue/EBITDA/PAT grew 20%/23%/41% YoY to Rs10.3bn/Rs2.3bn/Rs1.5bn respectively. EBITDA margin increased 60bp YoY to 22.8%.
- ARPOB grew by 4.0% to Rs66,584 in Q1 FY26 driven by increase in realization in Gurugram unit and change in speciality mix.
- Occupancy increased 440bp YoY to 63.2%.
- IP/OP volume grew 14%/13% to 42.1k/718k respectively
- **Expansion:** Noida hospital to commence operations with 300 beds in Q2FY26

  Patna 20 beds added in Q1 FY2026. Construction of additional beds in tower B is in progress.

Key Concall Highlights:

- 1QFY26, operational cost in Noida was Rs30mn. 2Q onwards, the cost is expected to increase as more doctors and staff get on board.
- Medanta Gurgaon, which is a 1500 bed hospital, has ~1000 doctors. Of these, ~500-600 are senior category doctors.
- **Lucknow**: ARPOB declined 11% YoY because of the increase in the scheme business, which has higher ALOS (Scheme patient: 10% of business)
- **Patna:** ARPOB grew 8% YoY led by decline in ALOS. This is largely due to efforts on increasing operational efficiency and bringing down ALOS of the PPP patients.
- **Noida:** Planning to operationalize with approximately five OTs in the next few days, and then two cath labs. It will start out with 300 beds. Then move to 500 beds in 2nd phase.
- Medanta has never taken a tariff increase in Lucknow or Patna. And it may consider a tariff increase there.

Apollo Hospitals Enterprises Ltd (APHS)

- In Q1FY26, APHS's hospital business Revenue/EBITDA/PAT grew 11%/15%/17% YoY to Rs29.4bn/Rs7.1bn/Rs3.8bn respectively. EBITDA margin grew 70bps YoY at 24.3%.
- **ARPP** grew 9% YoY to Rs172k on account of higher volumes in high-end specialities.
- **Occupancy** was 65% vs 68% in Q1FY25 while operating beds increased 1% YoY to 8,030.
- **IP/OP volume** increased 3%/9% YoY to 151k/567k respectively.

Key Concall Highlights:

- Hospital business expects 13-14% growth from existing facilities plus additional 10% from new beds over next 2-3 years.
- International patient revenues expected to grow to 7% by FY26 and targeting 10% by FY27.
- Digital business (24/7) is expected to achieve breakeven by end of FY26, with GMV guidance of Rs30-40bn for full year representing 25-30% growth.
- Offline pharmacy business expects to add about 600 stores with 17-18% revenue growth.
- Expanding hospital capacity with plans to add 700 beds in FY26 across multiple locations.
- Apollo is working on developing AI capabilities through their "Ask Apollo" product.

Krishna Institute of Medical Sciences Ltd (KIMS)

- In Q1FY26, Revenue/EBITDA/PAT grew 27%/7%/-9% YoY to Rs7.9bn/Rs1.9bn/Rs932mn respectively. EBITDA margin decline by 400bpYoY to 22%.
- **ARPOB** grew 12% YoY to Rs43k mainly driven by Telangana/AP clusters..
- **Occupancy** dropped to 49% vs 56% in Q1FY25. Operating beds stood 4,612
- **IP/OP volume** grew 15%/19% YoY to 57k/502k respectively.
- **Expansion plans:** Plans to add 1,100 beds by end of FY26.

Key Concall Highlights:

- **On EBITDA Margin:** Expects to be in range of 22-25%.
- **ARPOB:** Expect 4-5% growth from mature clusters
- Expect IP volume growth of 5-6% from Mature cluster like Telangana and Andhra Pradesh.
- **Expansion:** Opened 120 bed facility in Srikakulam in July'25, Launched units in thane and Bangalore with combined capacity of 800beds

Fortis Healthcare Ltd (FORH)

- In Q1FY26, Hospital business Revenue/EBITDA grew 19%/42% YoY to Rs18.3bn/Rs4bn respectively. EBITDA margin grew by 350bp YoY to 22%.
- ARPOB grew 10% YoY to Rs72.6k due to growth in key specialties and higher surgical volumes.
- Occupancy was 69% vs 67% in Q1FY25. Operational beds increased 24% YoY to 5703 beds.
- International patient revenue grew 21% YoY to Rs1.54bn and contributed 8% of sales.
- **Expansion plans:** 50 beds at Faridabad new tower operational in 1HFY26, FMRI 200 beds operational from 2HFY26

Key Concall Highlights:

- **EBITDA Margin Guidance:** Hospital margin to expand by around 200bp in coming years.
- FORH plans to add 4 new robotic machines
- **Acquisition:** Shrimann Super speciality Hospital in Jalandhar, Punjab, adding 228 beds with potential to add another 225 beds

Narayana Hrudayalaya Ltd (NARH)

- In Q1FY26, India hospitals Revenue/EBITDA grew 13%/11% YoY to Rs10.9bn/Rs2.3bn respectively. EBITDA margin remains flat YoY to 21.2%.
- ARPOB grew 14% YoY to Rs48.2k
- Operational beds stood at 5,394 beds down 5% YoY.
- **OP volume** was flat YoY while IP volume decreased 2% YoY to 617k/53k respectively.
- **Expansion plans:** Plans to add ~1800+ beds across facilities by FY30.

Key Concall Highlights:

- Breakeven at Cayman integrated care business by FY26/1QFY27.
- **Capex:** Rs30bn of incremental capex of which 80% funded through debt. Leverage ratio to be around 2.5-3x net debt/EBITDA. Q1 FY26 Greenfield project capex was Rs 500mn against a full year projection of Rs 4200mn.
- Pipeline of approximately 400 beds through potential M&A transactions

Jupiter Life Line Hospitals Ltd (JLHL)

- In Q1FY26, Revenue/EBITDA/PAT grew 21%/22%/-2% YoY to Rs3.5bn/Rs781mn/Rs438mn respectively. EBITDA margin remain flat YoY at 22%.
- **ARPOB** grew 13% YoY to Rs67.3k.
- **Occupancy** declined to 60% vs 64% in Q1FY25. Operating beds stood at 1,061 beds.
- **IP/OP volume** grew 5%/12% YoY to 13k/246k respectively.

Key Concall Highlights:

- **FY26 Guidance:** EBITDA margin to be maintained at same level, PAT margin will be lower due to high finance cost and depreciation.
- **EBITDA** burn rate for new hospital to be around Rs2-2.5crs per month, Dombivali hospital to have negative EBITDA in first year of operation and breakeven after year 2
- **Capital Expenditure**: Dombivali hospital cost – Phase 1 Rs4bn Phase 2 less than Rs1bn

Healthcare Global Enterprises Ltd (HCG)

- In Q1FY26, Revenue/EBITDA/PAT grew 17%/19%/-66% YoY to Rs6.1bn/Rs1bn/Rs47.3mn respectively. EBITDA margin grew 30bp YoY to 17.6%.
- **ARPOB** grew 1% YoY to Rs44.7k.
- **Occupancy** declined to 61% vs 62% in Q1FY25.
- **Operating beds** increased 17% YoY to 1486 beds.
- **Chemo sessions/OP volume** grew 20%/17% YoY to 49k/167k respectively.

Dr Agarwal (AGARWALEYE)

- In Q1FY26, Revenue/EBITDA/PAT grew 21%/25%/174% YoY to Rs4.8bn/Rs1.2bn/Rs300mn respectively. EBITDA margin grew 80bp YoY to 26.2%.
- Total patients grew 19% YoY to 705K
- Surgeries performed grew by 18% YoY to 78.8K driven by cataract surgeries which grew 15% YoY to 57.8K

Key Concall Highlights:

- **FY26 Guidance**: ROCE to improve by 1-1.5% from FY25 level on consol basis
- **Expansion:** Plan to open 42 new facility – South-23, West-9, North-5, East-5
- Capital expenditure guidance of Rs3.1bn
- Market leader in Tamil Nadu and Telengana
- Completed a Phase 3 clinical trial focused on wet age-related macular degeneration

Shalby Ltd (SHALBY)

- In Q1FY26, Revenue/EBITDA/PAT grew 1%/-10%/-16% YoY to Rs2.4bn/Rs524mn/Rs257mn respectively. EBITDA margin declined 250bp YoY to 22%.
- **ARPOB** grew 5.3% YoY to Rs45.6k.
- **Occupancy** declined to 45% vs 58% in Q1FY25.
- **Operating beds** increased by 2% YoY to 1415 beds.
- **IP/OP volume** decline 1/1% YoY to 225K/134K respectively.

Key Concall Highlights:

- **FY26 Guidance:** Revenue growth target of double digit 12-15% with improvement in EBITDA margins
- Occupancy expected to improve >50% in FY26
- Selective approach to new franchise/managed hospital to protect brand quality.
- Government business share to fall below 20% in upcoming quarters.

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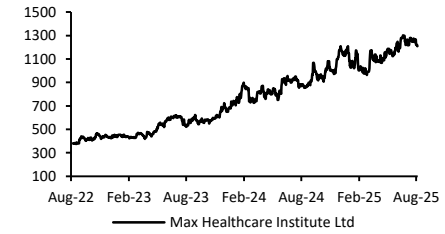
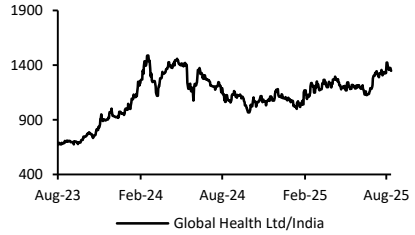
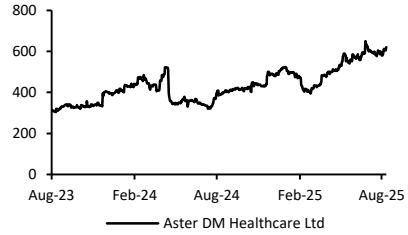
Max Healthcare Institute Ltd



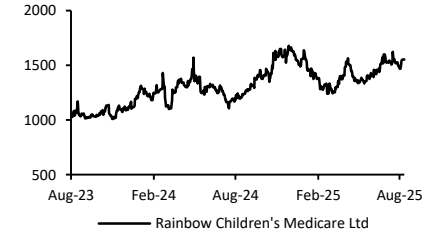
Global Health Ltd



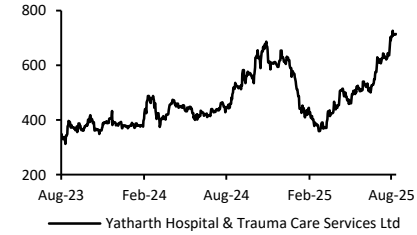
Aster Dm Healthcare Ltd



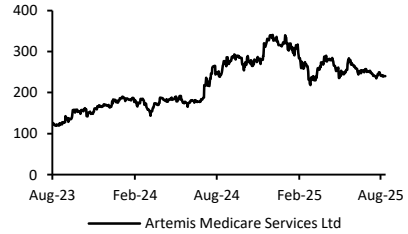
Rainbow Children'S Medicare



Yatharth Hospital & Trauma C



Artemis Medicare Services



Source: Bloomberg

Disclosure of Interest Statement

1	Business activities of Centrum Broking Limited (CBL)	Centrum Broking Limited (hereinafter referred to as "CBL") is a registered member of NSE (Cash, F&O and Currency Derivatives Segments), MCX-SX (Currency Derivatives Segment) and BSE (Cash segment), Depository Participant of CDSL and a SEBI registered Portfolio Manager.
2	Details of Disciplinary History of CBL	CBL has not been debarred/ suspended by SEBI or any other regulatory authority from accessing /dealing in securities market.
3	Registration status of CBL:	CBL is registered with SEBI as a Research Analyst (SEBI Registration No. INH000001469)

		Max Healthcare	Global Health	Aster Dm Healthcare	Rainbow Children'S Medicare	Yatharth Hospital & Trauma	Artemis Medicare Services
4	Whether Research analyst's or relatives' have any financial interest in the subject company and nature of such financial interest	No	No	No	No	No	No
5	Whether Research analyst or relatives have actual / beneficial ownership of 1% or more in securities of the subject company at the end of the month immediately preceding the date of publication of the document.	No	No	No	No	No	No
6	Whether the research analyst or his relatives has any other material conflict of interest	No	No	No	No	No	No
7	Whether research analyst has received any compensation from the subject company in the past 12 months and nature of products / services for which such compensation is received	No	No	No	No	No	No
8	Whether the Research Analyst has received any compensation or any other benefits from the subject company or third party in connection with the research report	No	No	No	No	No	No
9	Whether Research Analysts has served as an officer, directoror employee of the subject company	No	No	No	No	No	No
10	Whether the Research Analyst has been engaged in market making activity of the subject company.	No	No	No	No	No	No
11	Whether it or its associates have managed or co-managed public offering of securities for the subject company in the past twelve months;	No	No	No	No	No	No
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PORTFOLIO MANAGER

SEBI REGN NO.: INP000004383

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